

3.5

Accounting Policies

In the previous unit, we discussed the Auditor's Report. Now, we will look at an important set of disclosures in financial statements - Significant Accounting Policies. Every company has a set of guidelines or rules it must follow to draw up its finances. Some of these policies are governed by statutory laws. Other policies are decided by the company itself. Let us consider an example to understand things better.

EXAMPLE

E-Commerce Company

For example, consider an e-commerce company like Amazon. Here are the stages where the company can consider an order as 'revenue':



There are different stages when a company can consider something as revenue. Logically, the last stage - when the order has been delivered and the return window has closed, is when the company should book revenue. The stage at which the company considers something as revenue is called Revenue recognition policy. This way, company needs to have policies for when it counts something as an expense, as an asset, as a lease, as rent and so on. Together, these are called - Significant Account Policies of the Company.



Order can be cancelled or returned. So, recognizing revenue at any other stage will be incorrect.

However, companies can decide their policies based on their line of business. Let's consider another example.